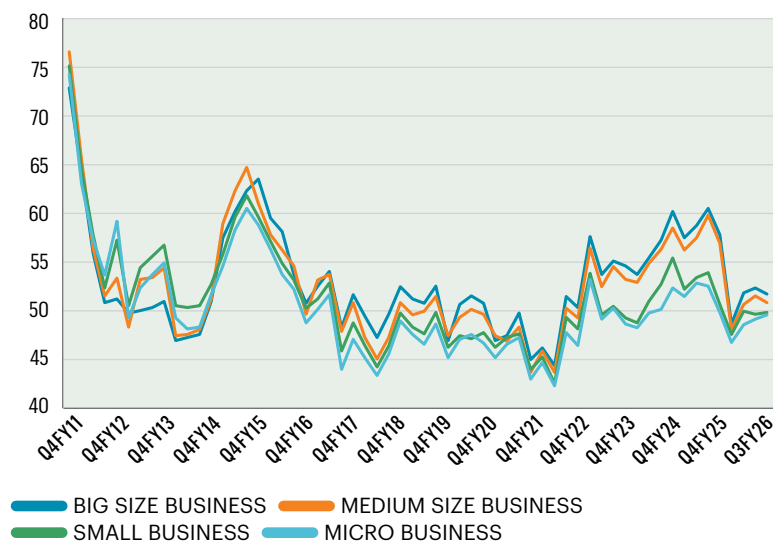


SLOW RECOVERY

► Business confidence has improved slightly since the pandemic, but micro and small companies still trail their larger peers



SOURCE BT-C FORE BUSINESS CONFIDENCE INDEX

Mazumdar says the problem India faces is persistently low wages, which means a large proportion of the population is unable to increase its spending beyond essentials. “Private sector investment is not increasing because sectors that can absorb large amounts of investment are not offering good returns. In manufacturing, there is a demand constraint because of inequalities in the economy,” he says.

Not everybody agrees with this characterisation of the corporate sector. Madan Sabnavis, Chief Economist at the Bank of Baroda, says India Inc must be defined more narrowly. Even by turnover, he says, the top 500 companies would account for the lion’s share.

The interest coverage ratio, a measure of how easily a company can pay off its debt, is a much better measure to check the health of the sector, he adds. “According to our studies, the ratio has improved since the Covid-19 pandemic to three or four for the top firms,” he says. A higher ratio indicates a better ability to cover debt.

On its part, the government has announced a slew of measures in recent years to improve the ease of doing business and boost consumption. Apart from the corporate tax cuts mentioned earlier, the finance minister reduced income tax rates in last year’s Budget and followed that up last September with a rationalisation of the goods and services tax (GST). India is

also projected to see higher-than-expected gross domestic product growth of 7.4% in FY26, according to the first advance estimates released by the Ministry of Statistics and Programme Implementation. Their impact on corporate profits is not captured in the data because it shows returns filed for earlier years.

Since the income tax and GST cuts are recent, their impact would be visible in some time, says Pronab Sen, former Chief Statistician. However, the corporate tax cut has had a limited impact, he adds. “That’s because by definition, corporation tax cuts benefit companies that earn profits, and not those that are not profitable,” Sen says. Any further cuts would create disparities.

The *BT-C Fore Business Confidence Survey* of 500 CEOs and CFOs, conducted since the beginning of 2011, bears this out. Confidence among small and micro firms has trailed that of larger companies.

“A pickup in consumption would improve the corporate sector’s fortunes, but consumer confidence appears to be low,” Sen says.

Optimism is expected to rise following the announcement of an interim bilateral trade agreement with the US. The agreement was announced by Prime Minister Narendra Modi and US President Donald Trump after the broader US-India Bilateral Trade Agreement (BTA) negotiations, launched in February last year.

The stock markets soared, and the rupee recovered vis-à-vis the dollar. Many observers expect consumption and corporate profits to follow suit. **BT**

@v1kramgopal